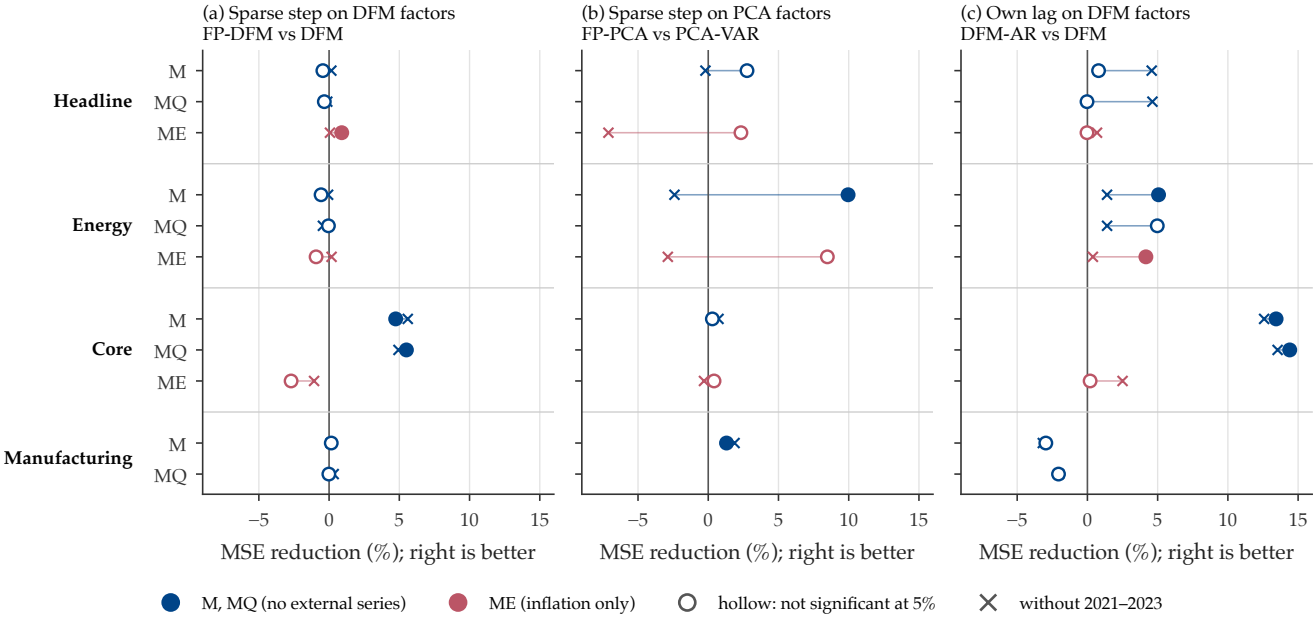
(a) Sparse step on DFM factors
FP-DFM vs DFM
(b) Sparse step on PCA factors
FP-PCA vs PCA-VAR
(c) Own lag on DFM factors
DFM-AR vs DFM
Headline
Energy
Core
Manufacturing
M
MQ
ME
−5
0
5
10
15
MSE reduction (%); right is better
M, MQ (no external series)
ME (inflation only)
hollow: not significant at 5%
without 2021–2023